2. **Rational Allocation of Resources:** The central planning authority allocates the resources in a planned manner. Wastages are minimised and investments are made in a pre planned manner.

3. **Absence of Class Conflicts:** As inequalities are minimum, there is no conflict between rich and poor class. Society functions in a harmonious manner.

4. **End of Trade Cycles:** Planning authority takes control over production and distribution of goods and services. Therefore, economic fluctuations can be avoided.

5. **Promotes Social Welfare:** Absence of exploitation, reduction in economic inequalities, avoidance of trade cycles and increase in productive efficiency help to promote social welfare.

Demerits of Socialism

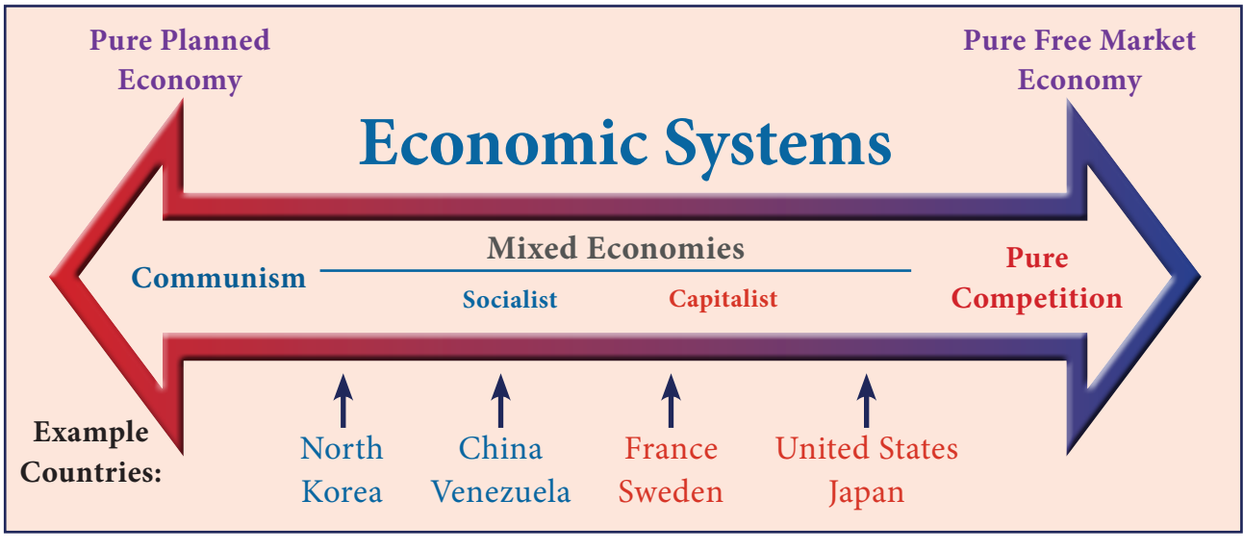
1. **Red Tapism and Bureaucracy:** As decisions are taken by government agencies, approval of many officials and movement of files from one table to the other takes time and leads to red tapism.

2. **Absence of Incentive:** The major limitation of socialism is that this system does not provide any incentive for efficiency. Therefore, productivity also suffers.

3. **Limited Freedom of Choice:** Consumers do not enjoy freedom of choice over the consumption of goods and services.

4. **Concentration of Power:** The State takes all major decisions. The private sector takes no initiative in making economic decisions. Hence, the State is more powerful and misuse of power can also take place.

1.7.3 Mixed Economy (Mixedism):



In a mixed economy system both private and public sectors co-exist and work together towards economic development. It is a combination of both capitalism and socialism. It tends to eliminate the evils of both capitalism and socialism.

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